

It seems to me to be such an obvious thing to do. It seems like the opportunity that you haven't taken is tailor-made for your set of skills. It's like you are currently trading with two hands tied behind your back. You are trading these ideas when the trend is strongly against you, but once the market turns and the trend is in your direction, you go on and do something else.

Look, Jack, I know that, and I want to have those types of trades because I'm right there. What part of my thought process is shutting out those trades? I don't know. Maybe I am just comfortable being comfortable, and trading with the trend would require me being uncomfortable. The part of the price move where everyone is freaking out and my boss is freaking out is where I am at ease. I am very comfortable when panic has set in because I know then, "I got them. They're trapped."

That's ironic because what you consider comfortable—selling into a near vertical rally—is exactly what most people would find highly uncomfortable.

Maybe that is where the fun of it is for me. And yet, where I am making most of my money is in the short-term trading around my positions.

That's exactly my point! Why not put the two together? Why not combine that short-term trading with positions that are in line with your original directional call after the market has confirmed the turn you expected? I am not suggesting you give up doing any trades you do. All I am saying is why not add that other component? When you have that really strong feeling and then the market does break, the odds are that the trend will continue for a while.

It always does. Those huge opportunities in my career were probably \$50 million trades, but I took all the risk and maybe only made \$3 million when just a few weeks later it would have been a \$10 million profit, and a few months later \$25 million. I hope in my career I will make those trades sometimes. I know I will have the opportunity.

Do stock upgrades or downgrades figure into your trading?

Generally, the stocks that I am short are being upgraded, and the stocks that I am long are being downgraded. That's how Wall Street works.